

CONFIDENTIAL — INTERNAL STRATEGY REVIEW

Hotel Booking Platform

Strategic Business Review

30,000 Booking Transactions · April 2024 – April 2025 · Multi-City Operations

Prepared for: CEO · Head of Revenue · Head of Growth · Senior Leadership Team

One Page for the CEO

⚠ THE PROBLEM

20.2% cancellation rate — more than double the industry benchmark of <12%. Combined with a 7.5% booking failure rate, the platform is losing ₹56M+ in annual revenue before a single guest checks out.

♦ THE OPPORTUNITY

All 499 customers are repeat bookers — a uniquely loyal base. Suite and 5-star segments deliver the highest margins but are dramatically under-represented. The revenue upside is structural, not aspirational.

🔍 KEY INSIGHT

Long lead-time bookings (31–60 days) cancel at the highest rate. Travel agents drive speculative cancellations with no financial penalty. Both are fixable through pricing structure and contractual guardrails — without reducing demand.

▶ RECOMMENDATION

Implement non-refundable pricing tiers + agent SLAs immediately. Simultaneously launch suite upsell prompts and 5-star premium campaigns. These four initiatives alone can recover ₹35–45M annually.

₹ EXPECTED IMPACT

₹40–55M incremental profit within 12 months. Cancellation rate: 20.2% → 14%. Confirmation rate: 72.2% → 77%+. Average profit per booking: ₹6,963 → ₹8,200+.

Platform Performance at a Glance · Apr 2024 – Apr 2025

30,000

Total Bookings

13-month period

72.2%

Confirmation Rate

Target: >80%

20.2%

Cancellation Rate

Industry avg: <12% ⚠

7.5%

Failure Rate

2,258 lost bookings

₹24,834

Avg Booking Value

Mid-market positioning

₹6,963

Avg Profit / Booking

Healthy per-unit return

27.7%

Profit Margin

Protect against discounts

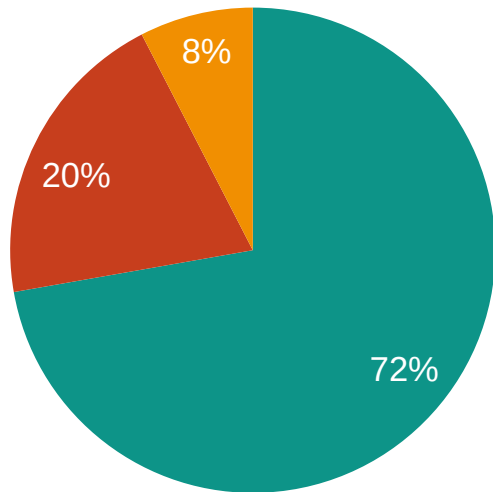
30 days

Avg Lead Time

Leisure planning horizon

Volume, Revenue & Confirmation Rates by Segment

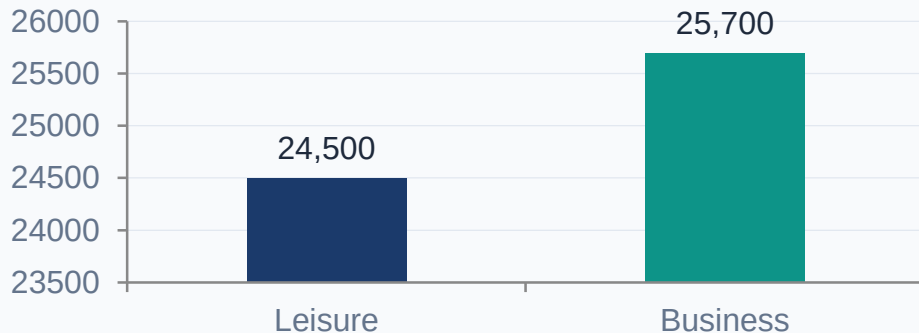
Booking Status Mix



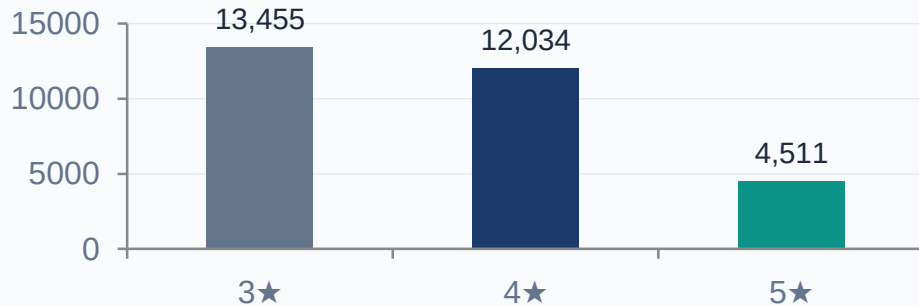
Confirmed Cancelled Failed

4★ properties drive 40% of all bookings and the majority of total profit.
5★ properties deliver the highest margin but account for only 15% of volume — a clear upsell gap.

Avg Booking Value: Leisure vs Business

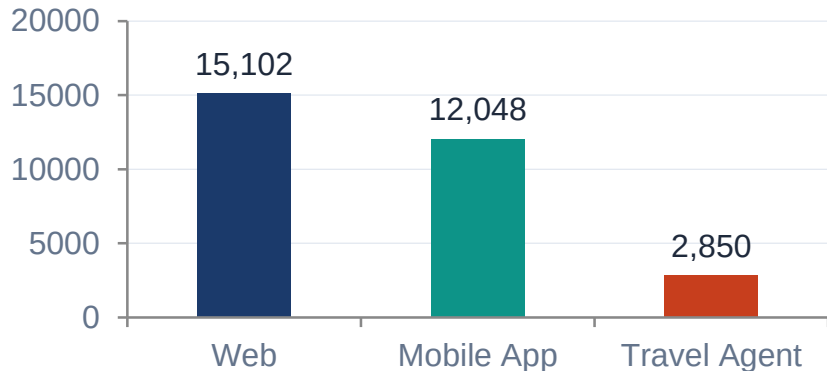


Booking Volume by Star Rating

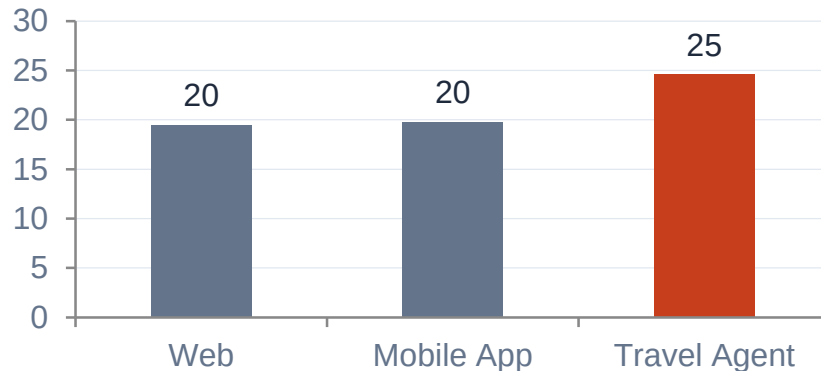


Where Bookings Come From — and Where We Lose Them

Booking Volume by Channel



Cancellation Rate by Channel (%)



● Web Channel

50% of total bookings. Highest absolute revenue and profit. Primary growth engine. Prioritise SEO and conversion optimisation.

◆ Mobile App

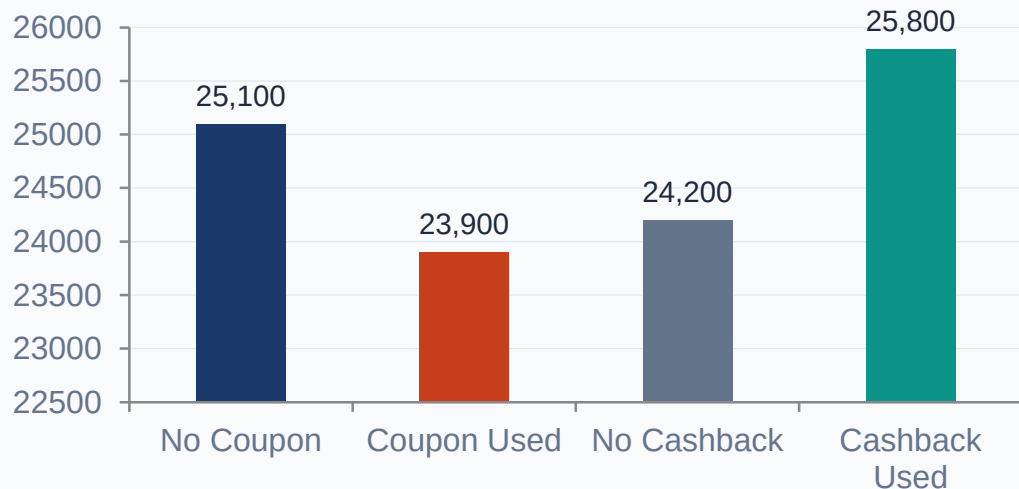
40% of bookings with confirmation rates matching Web. Under-monetised. Push notifications and app-exclusive deals can unlock significant upside.

⚠ Travel Agents

Only 9.5% of volume but highest cancellation rate (24.6%). Speculative bookings with no financial risk to agents. Contractual SLAs required immediately.

Who Buys, How They Buy, and What Drives Loyalty

Avg Booking Value by Incentive Type



499

Unique customers — all are repeat bookers

60×

Average bookings per customer annually

20.6%

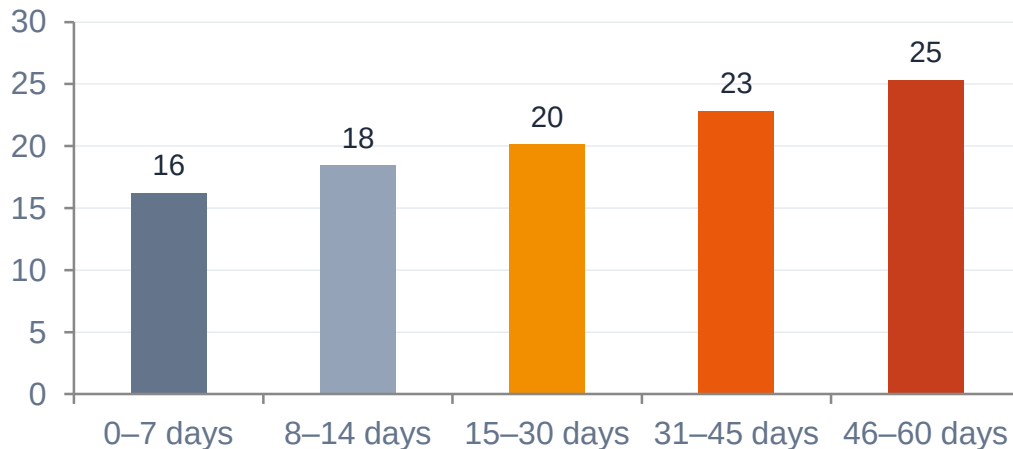
Coupon adoption — attracts price-sensitive segment

● Strategic Implication

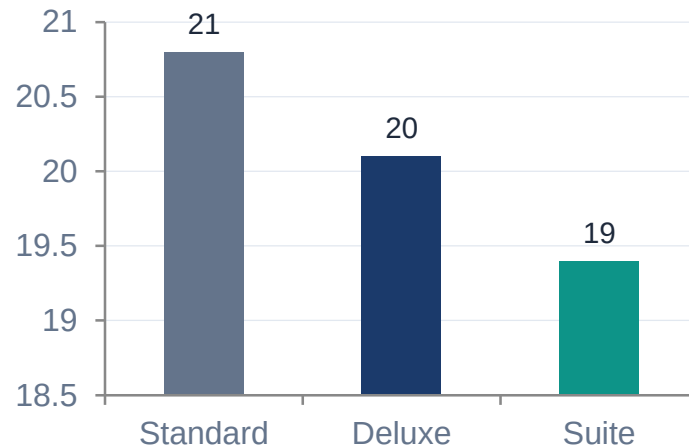
A 100% repeat-customer base is a platform's most valuable asset. The strategic priority is not retention — it is acquisition to grow the user base, and frequency optimisation via personalised re-engagement. Cashback outperforms coupons as a value-add: it drives higher booking values without eroding headline pricing.

6,058 Bookings Lost · ₹56M Revenue at Risk · Root Cause Identified

Cancellation Rate by Lead Time Bucket



Cancellation Rate by Room Type



1 Non-Refundable Pricing

Offer 5-12% discount for non-refundable bookings. Target: lead time >30 days. Reduces speculative bookings without killing demand.

2 Agent SLAs & Penalties

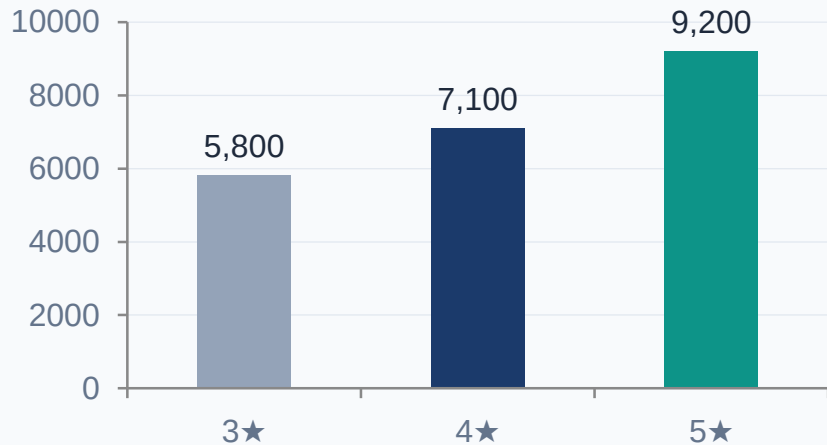
Penalise agents with >15% cancel rate: reduce commission or require deposit. Contractual guardrails on Travel Agent channel.

3 Smart Reminders

Send check-in countdown notifications at T-30 and T-7 days. Personalised "your trip is coming up" nudges reduce last-minute cancellations.

Where the Margin Lives — and Where We Are Leaving Money Behind

Avg Profit per Booking by Star Rating



Avg Profit per Booking by Room Type



● 5★ Underutilised

5-star properties deliver ₹9,200 avg profit vs ₹5,800 for 3-star — yet only 15% of bookings are 5-star. Targeted campaigns can shift this mix.

▲ Suite Upsell Gap

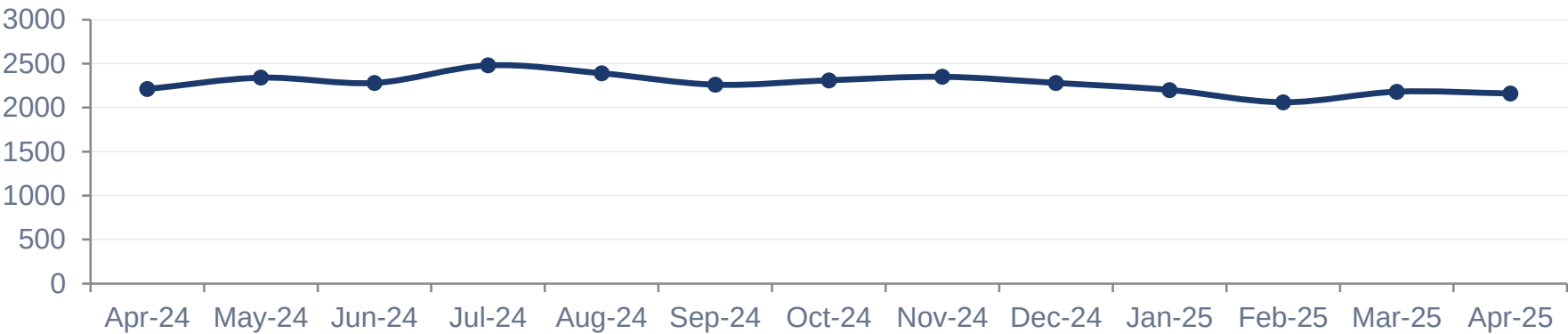
Suites yield ₹9,800 avg profit but represent only 10% of bookings. A post-confirmation upgrade prompt at ₹500–800 increment is the easiest margin lever.

🚩 Protect the Margin

Overall 27.7% margin is healthy. Coupon discount erosion is the primary risk. Shift promotions to cashback and loyalty points — they maintain margin while driving spend.

Monthly Booking & Revenue Trends · Apr 2024 – Apr 2025

Monthly Booking Volume (All Channels)



Stable Platform

No extreme seasonality spikes — bookings hover between 2,060 and 2,480 per month. Platform demand is consistent and predictable.

Summer Peak

July–August sees the highest volume (~2,400+). This is the strategic window for premium upsells and non-refundable rate pushes.

Q1 Softness

Feb–Mar shows the softest demand. This is the optimal window to run acquisition campaigns and fill inventory with incentivised offers.

Issue Tree — Why Are We Underperforming?

Revenue Leakage & Margin Dilution

Customer Behaviour

- Long lead-time bookings cancel at 25%+
- Price-sensitive coupon users reduce per-booking margin
- No structured re-engagement between stays

Pricing Strategy

- No non-refundable fare tier exists
- Uniform pricing across all lead times
- Premium inventory not differentiated in search

Channel Mix

- Travel agents: 24.6% cancel, no SLAs
- Mobile App under-monetised (40% volume)
- D2C channels could replace agent volume

Operations

- 7.5% failure rate = 2,258 lost bookings
- No payment retry engine in place
- Refund processing overhead from 6K+ cancels

Portfolio Mix

- 5★ only 15% of bookings despite highest margin
- Suites at 10% despite ₹9,800 avg profit
- Standard rooms dilute overall margin

Six Initiatives to Drive Growth, Margin & Retention

R1 Non-Refundable Pricing Tier

Lead-time >30d bookings cancel at 25%+. A 5–12% discount for non-refundable commits customers.

Expected: ↓ Cancel rate 20% → 14%

Effort: Low

R2 Travel Agent SLAs

Agents cancel at 24.6% with zero financial penalty. Contractual deposits and commission penalties align incentives.

Expected: ↓ Agent cancels by 25–30%

Effort: Medium

R3 Payment Retry Engine

7.5% of bookings fail at checkout. Smart retry + UPI integration recovers 30–40% of these.

Expected: +₹15–20M annual revenue

Effort: Medium

R4 Suite Upsell Prompts

Suites yield ₹9,800 avg profit vs ₹5,900 for Standard. Post-confirmation upgrade nudge at ₹500–800 increment.

Expected: +₹6–10M annual profit

Effort: Low

R5 5-Star Premium Campaigns

5★ = highest margin but only 15% of bookings. Homepage carousel + email targeting to high-LTV customers.

Expected: +₹12–18M annual profit

Effort: Low

R6 VIP Loyalty Programme

100% repeat base. Structured Silver/Gold/Platinum tiers increase booking frequency and average order value.

Expected: +1.5× booking frequency

Effort: Medium

What Leadership Should Execute — and In What Order

HIGH IMPACT / LOW EFFORT	HIGH IMPACT / HIGH EFFORT
→ Execute Now	→ Plan & Invest
Non-Refundable Pricing Tier ↓ Cancel 20%→14% ₹8–12M saved	Payment Retry Engine +₹15–20M revenue recovered
Suite Upsell Prompts ↑ Avg Profit ₹6,963→₹8,200+	Travel Agent SLAs ↓ Agent cancel rate 25–30%
5-Star Premium Campaigns +₹12–18M annual profit	VIP Loyalty Programme +1.5× bookings per customer
Re-engagement Emails +1.3× booking frequency	Mobile App A/B Campaigns +600 confirmed bookings/month

Quantified Upside Across Four Strategic Scenarios

A

5% Cancellation Reduction

303 fewer cancellations/yr

Additional Bookings

+303

Additional Revenue

+₹7.3M

Additional Profit

+₹2.0M

B

10% Cancellation Reduction

606 fewer cancellations/yr

Additional Bookings

+606

Additional Revenue

+₹14.6M

Additional Profit

+₹4.1M

C

5% Repeat Booking Increase

25 extra bookings per customer/yr

Additional Bookings

+1,500

Additional Revenue

+₹37.2M

Additional Profit

+₹10.5M

D

Direct Channel Shift (+5%)

Replace agent volume with D2C

Additional Bookings

+150

Additional Revenue

+₹3.7M

Additional Profit

+₹1.4M

Assumptions ·

Avg booking value ₹24,834 · Avg profit per booking ₹6,963 · 27.7% profit margin · 30,000 annual bookings baseline · Scenarios are independent; combined upside ₹40–55M+

30 / 60 / 90 Day Action Plan

30 Days

Quick Wins

Launch Non-Refundable Pricing Tier

Owner: Revenue Mgmt · KPI: Cancel Rate

Deploy Suite Upsell Prompt (Post-Confirm)

Owner: Product · KPI: Avg Profit/Booking

5-Star Premium Campaign (Email + Carousel)

Owner: Marketing · KPI: 5★ Booking Share

Clarify Refund Status Data Definition

Owner: Data/Engineering · KPI: Data Quality

60 Days

Core Builds

Integrate Payment Retry Engine + UPI

Owner: Engineering · KPI: Failure Rate

Draft & Enforce Travel Agent SLA Contract

Owner: Commercial/Legal · KPI: Agent Cancel Rate

Mobile Push Notification Campaign (A/B)

Owner: Growth/Product · KPI: Mobile Confirm Rate

VIP Loyalty Programme Design & MVP

Owner: Product/Marketing · KPI: Bookings/Customer

90 Days

Scale & Sustain

Launch VIP Loyalty Programme (Silver/Gold/Platinum)

Owner: Marketing · KPI: NPS / Frequency

Personalised Re-engagement Email Automation

Owner: CRM/Marketing · KPI: Repeat Bookings

Review & Optimise Channel Mix (D2C vs Agent)

Owner: Revenue/Commercial · KPI: Contribution Margin

Monthly KPI Review Board (New Metrics Framework)

Owner: Analytics · KPI: All KPIs

Three Things Leadership Must Act On

01 Fix the Cancellation Leak

At 20.2%, our cancellation rate is costing us ₹56M+ annually. Non-refundable pricing tiers and agent SLAs can close this gap to 14% within 6 months — the single highest-ROI intervention available today.

02 Shift the Portfolio Mix Up

Suite and 5-star inventory delivers 40–65% higher profit per booking than baseline but accounts for only 25% of volume. Upsell prompts and premium campaigns reshape our margin profile at near-zero incremental cost.

03 Build a Loyalty Moat

A 100% repeat-customer base is rare. A VIP loyalty programme and re-engagement automation will increase frequency, lifetime value, and defensibility against competitors.

Combined financial upside: ₹40–55M incremental annual profit · Implementation window: 90 days · All initiatives executable with existing team